

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST, COMPLAINANTS,

v.

APS EAST COAST, INC., RESPONDENT.

**COMPLAINANTS' REPLY BRIEF
TO RESPONDENT'S OPPOSITION BRIEF**

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I. INTRODUCTION

Complainants Ports America Chesapeake, LLC (“PAC”) and Marine Terminals Corporation-East (“MTCE”) (when referred to collectively, “Ports America”) respectfully submit this reply brief in further support of Ports America’s position that the evidence in this proceeding overwhelmingly establishes that Respondent APS East Coast, Inc. (“AMPORTS”) engaged in a pattern and practice of conduct in violation of the Shipping Act of 1984, as amended, 46 U.S.C. § 40101, *et seq.* (the “Shipping Act”), the Federal Maritime Commission’s (“FMC” or “Commission”) regulations, and applicable law and precedent. AMPORTS’ assessment of, and practices in connection with, its \$25 non-preferred stevedore access fee (the “Access Fee”), violate the Shipping Act’s prohibitions against (1) failing to establish, observe, and enforce just and reasonable regulations and practices in violation of 46 U.S.C. § 41102(c); (2) giving any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person in violation of 46 U.S.C. § 41106(2); and (3) unreasonably refusing to deal in violation of 46 U.S.C. § 41106(3).

As a result of the violations, an order directing AMPORTS to cease and desist from its unlawful conduct is warranted. Despite AMPORTS terminating the Access Fee and related non-preferred stevedore tariff provisions on the eve of briefing, AMPORTS unlawfully (1) continues to seek enforcement of the Access Fee prior to May 15, 2024; (2) thereafter established a new, and similarly unreasonable and unlawful access fee taking effect on June 1, 2024, that AMPORTS now expressly seeks to collect from stevedores; and (3) has threatened retaliatory action against Ports America on the basis of these disputed fees and charges, including threats to “lock out” Ports America. A cease and desist order should direct AMPORTS to cease enforcement of the \$25 Access Fee against Ports America, cease enforcement of the new \$10 access fee and revise the tariff accordingly, and cease and desist from taking retaliatory actions.

An award of reparations is also warranted. AMPORTS incorrectly asserts that Ports America

could not have been harmed because neither Ports America nor any ocean carrier customer of AMPORTS paid the unlawful \$25 Access Fee and that Ports America therefore does not have, or cannot recover, actual damages that resulted from AMPORTS' unlawful conduct. That view is not supported by the facts or the law. Ports America did not have to pay the \$25 Access Fee to be harmed by it. The evidence clearly establishes that AMPORTS' promulgation of the \$25 Access Fee in connection with ocean carriers using one class of stevedore (a "non-preferred stevedore"), but no Access Fee in connection with ocean carriers using another class of stevedore (a "preferred-stevedore") was intended to, and in fact resulted in, ocean carriers switching stevedores because of the threat of liability for the \$25 Access Fee.

As a direct and proximate result of AMPORTS' promulgation of, and attempts to enforce, the Access Fee, Ports America in fact lost most of its ocean carrier customer business at the AMPORTS terminals. At the time the Complaint was filed on May 30, 2023, Ports America alleged, among other things, that AMPORTS' violations resulted in "loss of business, interference with current and future business relations and contracts, and threatened liability for the access fee." Compl. ¶ 54, *see also id.* ¶¶ 46, 47 and 75.

Thus, evidence of damages produced during discovery, including in November 2023 responses to interrogatories, in document productions, and in depositions, outlined a combination of actual and estimated lost business damages. The most up-to-date evidence in the record calculates PAC and MTCE's combined actual lost business damages of approximately [REDACTED] dollars in EBITDA through early 2024, with losses continuing into 2024 approximating [REDACTED] per month. Opening Br. at 63. The evidence in the record on damages from actual lost business is detailed, it is based on straightforward calculations from normal-course financial records, and it is sufficient to establish lost business damages with a reasonable degree of certainty, and such damages continue to accrue.

II. SUMMARY OF REPLY

Ports America's Complaint, and its opening brief ("Opening Brief"), clearly and expressly challenge AMPORTS' Access Fee. In summary, with regard to 46 U.S.C. § 41102(c), AMPORTS' policy, practices, and actions in connection with the \$25 Access Fee were unreasonable and excessive. The Access Fee fails under the applicable standard for determining the reasonableness of Marine Terminal Operator ("MTO") practices and charges: they "must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view."¹ AMPORTS does not contest that this standard applies here.

AMPORTS does not seriously contest the evidence that it failed to substantiate the reasonableness of the Access Fee under other applicable Commission precedent, including: failing to justify the difference between the per unit charge to the preferred stevedore and the Access Fee charged for employing a non-preferred stevedore, failing to establish that the Access Fee bore any relationship to the preferred stevedoring arrangement, failing to substantiate the actual costs the Access Fee was meant to cover, and failing to identify an actual benefit conferred on the party it sought to charge.

Instead, AMPORTS focuses a significant portion of its brief fruitlessly arguing that Ports America failed to establish a *prima facie* case, in hopes that it would not be required to justify the reasonableness of its actions. Those arguments fail, and AMPORTS fails to justify the reasonableness of the \$25 Access Fee, or the new \$10 access fee that replaced it.

Ports America also challenges the reasonableness of AMPORTS' policy and practice of seeking to enforce the Access Fee. The tariff assessed the Access Fee on AMPORTS' ocean carrier

¹ *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 1997 WL 35281266, at *38 (FMC Oct. 10, 1997) (citing *West Gulf Maritime Ass'n v. Port of Houston*, Dkt. No. 75-21, 21 FMC 244, 248 (FMC Aug. 16, 1978) ("*WGMA*")).

customers, or was at best ambiguous, and in all events under applicable precedent the tariff language was not sufficient to enforce collecting it from Ports America. AMPORTS concedes that the tariff language was ambiguous, that AMPORTS did not amend the tariff to actually assess the Access Fee, or any other fee, on stevedores until amendments were made in May and June of 2024, and AMPORTS otherwise fails to rebut that AMPORTS' tariff does not provide a legal basis to assess or collect the \$25 Access Fee from Ports America.

The Complaint and Opening Brief also challenge that AMPORTS' different treatment of non-preferred stevedores and preferred stevedores unreasonably prejudiced Ports America in violation of 46 U.S.C. § 41106(2). Aside from AMPORTS' inapposite *prima facie* case argument, AMPORTS woefully fails to justify the differential treatment on the basis of legitimate transportation factors. Instead, AMPORTS advances yet more *post-hoc*, unsupported contentions that its actions were reasonable due to alleged considerations of efficiency, safety, and economic self-interest; however, the evidence does not support its contentions and AMPORTS fails to provide any legitimate justifications.

Ports America has established its damages to a reasonable degree of certainty. AMPORTS mainly argues that Ports America's damages are too speculative because it claims "future estimates." AMPORTS' argument that damages from future lost business alleged in the Complaint are somehow too speculative to constitute compensable reparations is not supported by applicable precedent, which recognizes lost business as a compensable category of actual damages. But in fact, a large amount of lost business damages that were "future" when alleged in the Complaint had occurred by the time of the Opening Brief. AMPORTS also complains that it apparently wanted more discovery on damages. AMPORTS has been on notice of Ports America's claimed damages since the outset of this proceeding and AMPORTS had ample opportunity to examine evidence and depose witnesses on damages. Ports America has unquestionably been injured, the evidence on Ports America's lost

business damages has been established with a reasonable degree of certainty, and an award of reparations is warranted.

III. RESPONSES TO AMPORTS' PROPOSED FINDINGS OF FACT

Responses to AMPORTS Proposed Findings of Fact ("RPFF"), filed contemporaneously herewith, are incorporated in full by reference.

IV. REPLIES

A. Unreasonable Practices in Violation of 46 U.S.C. § 41102(c).

1. AMPORTS' \$25 per car fee for terminal access was unreasonable and excessive in violation of 46 U.S.C. § 41102(c).

AMPORTS agrees that for a MTO's practices to be reasonable for purposes of section 41102(c), the practices "must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view." *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 1997 WL 35281266, at *38 (FMC Oct. 10, 1997) ("*Ceres Terminal*") (citing *West Gulf Maritime Ass'n v. Port of Houston*, Dkt. No. 75-21, 21 FMC 244, 248 (FMC Aug. 16, 1978) ("*WGMA*"). See AMPORTS Br. at 30.

a) AMPORTS' purported justifications for the reasonableness of the \$25 per car Access Fee fail.

In its brief, AMPORTS advances only two arguments claiming that the facts in the record support the asserted reasonableness of the Access Fee.

(1) AMPORTS argues that "the higher charge reflected the consideration given by the preferred stevedore in exchange for the reduced per-unit rate." AMPORTS Br. at 31. The "consideration" AMPORTS asserts was the insurance and indemnification provisions and the dispute resolution provisions in the preferred stevedore agreement. *Id.* First, AMPORTS provides no argument or evidence substantiating how allegedly not receiving the benefit of those contractual rights from a non-preferred stevedore justified charging [REDACTED] more per car for an ocean carrier using a non-preferred stevedore than an ocean carrier using a preferred stevedore. AMPORTS in fact did

not calculate the purported economic value of those provisions. Opening Br. at 18-20. Nor does AMPORTS even attempt to rebut the detailed evidence cited in the Opening Brief that the purported comparative value of those provisions was illusory, because non-preferred stevedores were already subject to equivalent requirements in the existing tariff. Opening Br. at 18-21. Nevertheless, AMPORTS' had the right to require exactly the same requirements from any stevedore via the tariff if it had wanted to, Opening Br. at 20, a point that AMPORTS concedes in its brief because it did exactly that in the June 2024 tariff amendment. AMPORTS Br. at 12 (incorporating in the tariff "nearly identical requirements laid out in its preferred stevedore agreement").

AMPORTS' *post-hoc* argument that the costs of this FMC litigation prove the value of the Access Fee is spurious. AMPORTS Br. at 33. The purported value of those provisions, to the extent such value existed at all, concerned potential *property damage* to the AMPORTS terminal, not AMPORTS' costs to defend its unlawful Access Fee. *See* Opening Br. at 19-20. In any event, AMPORTS' after the fact litigation argument that the alleged value of an excessive fee is justified by the costs of defending or seeking to collect it does not make any sense and is not supported by any evidence in the record.

(2) AMPORTS also argues that the Access Fee was reasonable because "the \$25 per unit fee was intended to assist in achieving" the preferred stevedoring model by requiring non-preferred stevedores to pay more to access the terminal. *Id.* at 31. There are multiple problems with that argument, including that it is directly contradicted by the testimony of AMPORTS' corporate representative that the amount of the Access Fee was *not* relevant to the preferred stevedoring agreement. CX_00180-81, AMPORTS 143(b)(6) Dep. Tr. 144:6-145:4; Complainant Response to RPFF 52. Regardless, it does nothing to actually justify the reasonableness of the \$25 Access Fee. To the contrary, it would further support the other evidence in the record that the Access Fee was

intended to be a punitive penalty. *See* Opening Br. at 12-13.²

AMPORTS also argues in the same section VI(a) of its brief that “AMPORTS is fully within its rights to impose a fee,” has “the power to determine those with whom it will deal,” and “the right to implement a reasonable access fee...even if that fee is \$25 per unit.” AMPORTS Br. at 30-31.³ But those conclusory arguments provide no justification for the reasonableness of the Access Fee - they simply beg the question at hand: was the Access Fee reasonable? The answer to that is no.

b) AMPORTS fails to meaningfully rebut, or address at all, the bulk of the arguments in the Opening Brief showing that the Access Fee is unreasonable under key precedents.

The conclusion that AMPORTS fails to justify the Access Fee is driven home by AMPORTS’ refusal to address the bulk of the arguments and evidence presented in the Opening Brief that the Access Fee is not justified under virtually every important aspect of well-established Supreme Court and Commission precedent for determination of the reasonableness of MTO practices and charges. Specifically, AMPORTS does not rebut Ports America’s arguments in the Opening Brief in section

² Citing evidence and testimony from AMPORTS’ Baltimore terminal manager that the \$25 Access Fee was “a penalty fee for not using Ceres as the preferred stevedore,” contemporaneous communications from Ceres to AMPORTS, and testimony from Ports America.

³ *Citing Perkins v. Lukens Steel Co.*, 310 U.S. 113, 127 (1940); *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Dkt. No. 11-11, 2013 WL 9808672 at *36 (ALJ, Jan. 10, 2013). AMPORTS’ assertion that the \$25 Access Fee at AMPORTS terminal is somehow justified by the exclusive arrangements at the Seagirt Container Terminal in Baltimore is baseless. AMPORTS Br. at 31. AMPORTS does not point to any evidence, nor does it advance any real argument, for how its \$25 Access Fee would be justified by the arrangements at Seagirt. In any event, the circumstances at Seagirt bear no resemblance to AMPORTS. *See* Ports America’s Response to RPFF 2, 12.

In contrast, AMPORTS provides no stevedoring at its terminals, nor was it required to commit ██████ in terminal investments associated with the stevedoring exclusivity provisions in its lease. Instead, it sought to assess charges for stevedoring access that it thought “the market will bear.” *See* CX_01508 & CX_01510-11, AMPORTS 143(b)(6) Dep. Ex. 39 (“Respondent contends that as the owner and operator of its terminals, it is permitted to use its privately owned marine terminals as it sees fit, subject to applicable laws and regulations, including the Shipping Act, including the right to assess such charges as it determines the market will bear for access to its privately owned property.” CX_01511, AMPORTS 143(b)(6) Dep. Ex. 39).

IV(A)(1) that:

(1) AMPORTS fails to substantiate the actual costs of the service to be defrayed or recompensed by the Access Fee, which AMPORTS testified was intended to recover virtually all of AMPORTS' annual marine terminal capital costs and operational costs. *See* Opening Br. § IV(A)(1)(a) at 10-11.

(2) AMPORTS fails to show that the Access Fee is reasonably-related to an actual service provided or a benefit conferred on the person it sought to charge. Indeed, AMPORTS admitted in the evidence, and does not contest in its brief, that it did not allocate the costs to services provided to, or benefits received by, stevedores. *See* Opening Br. § IV(A)(1)(b)(i) at 11-13. AMPORTS fails to substantiate or correlate the Access Fee to actual services to stevedores, which in fact are very little, if not *de minimus*. *See* Opening Br. § IV(A)(1)(b)(ii) at 13-14. Whatever those costs or benefits were, AMPORTS admitted that they were not allocated to stevedores because the costs for terminal services benefited others, including AMPORTS. *See* Opening Br. § IV(A)(1)(b)(iii) at 14-15.

(3) AMPORTS does not contest that the Access Fee sought to charge for costs of services and benefits *already charged to others* under the AMPORTS tariff, including charges for dockage, wharfage, usage, handling, terminal security, and miscellaneous charges with respect to automobile cargo, which by their terms cover services for use of berths and terminal facilities, specifically including loading and unloading vehicles and vehicle cargo to and from the first point of rest; that is, the same activities performed for ocean carriers and cargo on the AMPORTS terminals. *See* Opening Br. § IV(A)(1)([c]) at 15-18.⁴

(4) AMPORTS does not meaningfully contest that the purported “benefits” of the Access Fee were illusory and otherwise available from non-preferred stevedores (as discussed above, the

⁴ Subsections intended as IV(A)(1)(c) and (d) on pages 15 to 24 of the Opening Brief inadvertently repeated the prior subheading lettering (a) and (b).

purported insurance and indemnity provisions), but rather were simply an attempt to raise more money from an impermissible general revenue raising fee on one class of person. *See* Opening Br. § IV(A)(1)([d]) at 18-24.

c) Ports America has more than adequately established a prima facie case that the AMPORTS Access Fee is unreasonable under section 41102(c).

A *prima facie* case for the purpose of section 41102(c) requires a showing that the “charges assessed did not bear a reasonable relationship to the comparative benefit obtained.” *See Ceres Terminal*, Dkt. No. 94-01, 1997 WL 35281266, at *38 (FMC Oct. 10, 1997), citing *Louis Dreyfus Corp. v. Plaquemines Port. Harbor and Terminal Dist.*, 25 F.M.C. 59, 68-69. (FMC July 30, 1982) (discussing that in *Plaquemines* “the Commission held that the complainants made a *prima facie* case under section 17 where they showed that the charges assessed did not bear a reasonable relationship to the comparative benefit obtained from the port services by the assessed parties. In that case, the Commission found that complainants did not receive benefits proportionate to the costs allocated to them, and moreover, other users of the port received equal or greater benefits, but did not pay their share of the port's costs.”). As set forth in the sections above, and set out in the Opening Brief, there is no question that Ports America has more than made out a *prima facie* case under section 41102(c).

AMPORTS incorrectly argues that Ports America has not established a section 41102(c) *prima facie* case, and that as a result AMPORTS is not required to justify the reasonableness of the Access Fee, citing to *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Dkt. No. 11-11, 2013 WL 9808672, at *31 (ALJ, Jan. 10, 2013). AMPORTS Br. at 30. AMPORTS misapplies the *prima facie* case and burden shifting standards applicable under sections 41106(2) and 41102(c). *Marine Repair Services* does not address the *prima facie* case standard under section 41102(c), which was not alleged in that case. *Marine Repair Services*, 2013 WL 9808672, at *31 (addressing challenge to exclusive arrangements under sections 10(d)(4) and 10(d)(3) of the Shipping Act, 46 U.S.C. §§ 41106(2) and (3)). As the Commission succinctly illustrated in *Plaquemines*,

sections 16 and 17 of the Shipping Act of 1916 (the predecessors of sections 41106(2) and 41102(c)) have different standards for making a *prima facie* case.

2. AMPORTS’ fails to offer any justification for its revised \$10 access fee.

As explained in the Opening Brief, on the eve of briefing in this matter, AMPORTS amended the Access Fee provisions in its tariff twice in less than two weeks: on May 15, 2024 removing the Access Fee, and again on May 24, 2024, replacing the Access Fee with a new \$10 access fee, to take effect on June 1, 2024. Opening Br. at 24-25. As argued in the Opening Brief, AMPORTS’ new \$10 access fee suffers from all of the same problems as the \$25 Access Fee because AMPORTS failed to substantiate the reasonableness of the access fee at any level. *See* Opening Br. at 25-26 (*citing* Opening Br. § IV(A)(1)(b), *supra*). In addition, the Opening Brief challenged the lack of reasonable notice given in connection with the new access fee, *both* under the *express terms* of the May 15, 2024 tariff, and as a matter of reasonableness under the circumstances. *See* Opening Br. at 26-28.

In its opposition brief, AMPORTS does not offer any argument or cite any evidence purporting to justify the reasonableness of the new access fee. AMPORTS Br. at 33-34. Instead, AMPORTS quibbles with whether it was required to give any advance notice of the new fee at all, despite the express provisions of its own May 15, 2024 tariff that it would give at least a minimal 10-days notice. AMPORTS also utterly fails to justify the reasonableness of the new \$10 access fee on stevedore access to the terminal.⁵

3. AMPORTS’ “business judgement” is not entitled to deference because its practices were not reasonable under the Shipping Act.

AMPORTS also argues generally (in an introductory section titled “Commercial Decisions

⁵ AMPORTS asserts, without citation to any authority or argument, that the new access fee is “beyond the scope of” the Complaint. AMPORTS Br. at 33. To the contrary, AMPORTS’ practices in connection with assessing access fees on stevedores is central to the Complaint, and it is permissible to address AMPORTS’ revocation of the Access Fee and substitution of a new access fee—undertaken on the eve of briefing—in the merits of this proceeding. Opening Br. at 25-28.

and Entitled to Deference”) that “[i]f . . . the Commission nevertheless proceeds to consider the reasonableness of APS’ commercial decisions, those decisions are to be afforded significant deference.” AMPORTS Br. at 21-22. AMPORTS asserts that “[a]s a private business, APS has the right to determine those with whom it will deal and fix the terms and conditions for access to its private facility,” AMPORTS Br. at 23, and that “[t]he Commission has provided its guidance with the regard to the considerable deference to be afforded in its assessment of the reasonableness of commercial decisions, holding that that parties are to be afforded “discretion to exercise business judgment.” AMPORTS Br. at 23, citing *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 29 S.R.R. 356, 369, 372 (FMC 2001). But that is not the Commission’s guidance on business judgement because AMPORTS cites to the wrong *Ceres* decision.

The Commission’s actual guidance on business judgement is in a different *Ceres* decision, *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 1997 WL 35281266, * 37 (FMC Oct. 10, 1997), where the Commission rejected the same “business judgement” argument AMPORTS essentially advances here. In the 1997 *Ceres* decision, the Maryland Port Administration (“MPA”) argued that the Commission should defer to its commercial business decisions because MPA should be entitled “to make arrangements to expand steamship vessel calls at the Port of Baltimore in furtherance of its statutory responsibility of promoting the economic health of the region.” *Ceres Terminals*, 1997 WL 35281266 * 36. The Commission reasoned that what MPA was actually seeking was for “ the Commission simply to defer to [MPA’s] decision of . . . without analyzing the reasonableness of that practice under the 1984 Act. That is not an appropriate use of the concept of deference.” *Id.* at 37.

The Commission then laid out its guidance on business judgement, as follows: “Before granting deference in any case, the Commission must first assess the reasonableness of the practice involved and then evaluate the grounds articulated to justify the disparate treatment. If it is

determined that a port's actions are not unreasonable, then the Commission could grant deference to the port's business decision, rather than substitute its own judgement.” *Id.* Put differently, deferring to business judgment is not a substitute for determining reasonableness under the Shipping Act. That, however, is what AMPORTS’ deference argument seeks. According to AMPORTS, the Commission should defer to its purported reasons for assessing an excessive, unreasonable, and discriminatory Access Fee, and related practices, because AMPORTS “did so for the purpose of improving the efficiency of operations, generating revenue at its terminal, and providing resources for maintenance and improvements.” AMPORTS Br. at 24-25. Those are essentially the same purported “justifications” that are contested and as set forth in the Opening Brief and herein, are not legitimate or reasonable justifications for its conduct. This is, as the Commission said above, not “an appropriate use of the concept of deference.”

4. **AMPORTS’ concedes that the tariff language was ambiguous, that it did not amend the tariff to actually assess any access fee on stevedores until May 2024, and it otherwise fails to rebut that it’s tariff does not provide a legal basis to assess the \$25 Access Fee, or collect the \$25 Access Fee, from a non-preferred stevedore.**

Ports America argues in the Opening Brief in substantial detail, and with extensive citation to evidence and authorities, that AMPORTS’ attempts to enforce the Access Fee against Ports America, specifically AMPORTS’ attempts to hold Ports America liable to pay the Access Fee pursuant to the tariff as an implied contract, was unreasonable and unlawful because the relevant language in the tariff did not make the non-preferred stevedore liable for, or responsible to pay, the Access Fee. *See* Opening Br. at 28-37.

AMPORTS concedes that the applicable language in the tariff was ambiguous. AMPORTS Br. 32-33.⁶ Acknowledging that the language in the applicable tariff Rule 34 2 “was originally

⁶ AMPORTS also appears to concede that it had no legal basis for collections of the Access Fee before the March 31, 2024 letter, either. *See* Opening Br. at 34-35.

unclear and required clarification,” AMPORTS nevertheless argues that Ports America should be compelled to pay the Access Fee after March 31, 2023, when counsel for AMPORTS “provided the clarification directly, in writing, not later than March 31, 2023 in clear and unambiguous language: . . . ‘We think it important to advise upfront that the \$25/unit fee is a charge that will be assessed to any unlicensed stevedore company for access to AMPORTS’ facilities and it is not a charge payable by our carrier customers.’” *Id.* at 33-34. Of course, that “clarified” language was not in the tariff. AMPORTS argues that after the March 31, 2023 letter “Ports America confirmed their clear understanding of the assessment of the fee on stevedores in their letter to at least two clients,” but that is materially misleading. While Ports America certainly became aware on March 31, 2023 of AMPORTS’ assertion that it intended to charge the Access Fee to stevedores, not AMPORTS’ ocean carrier customers, the evidence in the record is clear that Ports America promptly rejected AMPORTS’ position and advised AMPORTS that it still lacked a legal basis to collect the Access Fee from Ports America, via implied contract or otherwise. Opening Br. at 35. As argued in the Opening Brief, AMPORTS could have undertaken to amend the tariff at anytime thereafter with the March 31, 2023 “clarified” language, or along the lines of the May and June 2024 tariff amendments, but elected not to do so. *Id.*

AMPORTS’ assertion that Ports America “retained the ability to encourage its customers to use one of the several other terminals” is totally irrelevant to the question of whether AMPORTS has a basis to demand payment from Ports America for the Access Fee, even if Ports America could control or “encourage” its customers to discharge elsewhere.

Finally, AMPORTS’ offers a totally baseless argument that Ports America actually operated at a *competitive advantage* because the \$25 Access Fee that AMPORTS seeks to collect has been disputed and not paid. *Id.* at 33. However, as established in the record, the threat of the Access Fee resulted in Ports America losing business, not improving its competitive position. Opening Br. at 62-

63. Even the factual premise is logically faulty—even if Ceres ultimately paid its contractual obligations of ■ per unit, they were not paying it when the contract or the Access Fee was in effect and “competing.”⁷

5. AMPORTS’ fails to rebut the arguments in the Opening Brief that the Access Fee and preferred/non-preferred stevedoring practices unreasonably interfered with Ports America’s agreements and business relations, and the rights of ocean carriers to select their own stevedores in violation of 46 U.S.C. § 41102(c).

As argued in significant detail in the Opening Brief, it is well-established that a wide range of conduct has been found to constitute unreasonable practices under the Shipping Act, including conduct that in fact or in substance would violate other statutes or legal principles, so long as the conduct independently fails to meet the standard for reasonable practices under the Shipping Act. *See* Opening Br. § IV(A)(4) at 37-41 (citing authority, including that “interfere[nce] with the contractual rights” without a valid legal excuse can constitute an unreasonable practice violation). AMPORTS does not attempt to rebut either the authorities, or the facts, in section IV(A)(4) of the Opening Brief.

Instead, to the extent that AMPORTS submits any opposition to this alleged violation at all, AMPORTS appears to argue that the Supreme Court’s recent decision in *Sec. & Exch. Comm’n v. Jarkesy*, 144 S. Ct. 2117, 2131 (2024), divests the Commission’s jurisdiction (or jurisdiction to award reparations—the precise argument is not clear) over claims alleging violations of the Shipping Act if the determination of reasonableness bears on rights or remedies recognized at common law. AMPORTS Br. at 37-38. *Jarkesy* does not extend nearly so far. The underlying premise of *Jarkesy* is simple: the Securities and Exchange Commission (“SEC”) sought civil penalties from Jarkesy for securities fraud in an administrative adjudicatory proceeding that did not provide for a trial before a

⁷ Indeed, the first Ports America heard of Ceres making any such payments was in AMPORTS’ new evidentiary affidavit, submitted on July 19, 2024 with its opposition brief.

jury. *Jarkesy* at 2126-27. The Court determined that the Seventh Amendment was implicated, and Jarkesy's rights had been violated, because "[t]he SEC's antifraud provisions replicate common law fraud, and it is well established that common law claims must be heard by a jury." *Jarkesy* at 2127. Because the SEC sought to impose civil penalties without a jury for breach of common law claims which had been incorporated into federal securities law, the Court determined that the action was essentially one of common law fraud. *Id.* at 2130-31. AMPORTS ignores fundamental differences between the *Jarkesy* SEC civil penalty action and Ports America's claims against AMPORTS: unlike *Jarkesy*, the matter here is a private party complaint proceeding alleging violations of the Shipping Act. And regardless of how AMPORTS may attempt to recast the damages Ports America has sustained, the claims do not arise under common law and there is no common law remedy available for violations of the Shipping Act.

Having plainly failed to rebut the substance of the alleged unreasonable practices violation advanced in section IV(A)(4) of the Opening Brief, at pages 37-41, but for its inapposite reliance on *Jarkesy*, AMPORTS effectively concedes the violations alleged.

B. Unreasonable Prejudice and Disadvantage in Violation of 46 U.S.C. § 41106(2).

1. AMPORTS' preferred and non-preferred stevedore policy and practice, and the preferred and non-preferred access fees, unreasonably prejudiced and disadvantaged Ports America in violation of 46 U.S.C. § 41106(2).

In its Opening Brief, Ports America argued that the litany of overlapping, incomplete, *post-hoc*, and in some instances internally inconsistent, purported justifications advanced by AMPORTS in the course of discovery and motion practice completely failed to justify AMPORTS practices under the applicable standard for determination of unlawful preference and prejudice pursuant to 46 U.S.C. § 41106(2). Opening Br. § IV(B) at 41-42. Put simply, Ports America argued that AMPORTS utterly failed to substantiate any justifications for its conduct relevant under the Shipping Act, including by failing to provide any justifications: (i) for the differential Access Fee treatment and

rates in the tariff for one class of stevedore (a “non-preferred” stevedore) and another class of stevedore (a “preferred” stevedore); or (ii) based on legitimate transportation factors within the meaning of the Shipping Act. *Id.* at 41-54.

AMPORTS agrees with the applicable framework for determination of section 41106(c) violations set out in *Ceres Terminal*, Dkt. No. 94-01, 1997 WL 35281266 *31 (FMC, Oct. 10, 1997). AMPORTS Br. at 26. AMPORTS does not contest the competitive relationship factor. AMPORTS Br. at 26. However, AMPORTS contests the second, third, and fourth factors, asserting that: (2) Ports America was not accorded different treatment; (3) the differing treatment does not require justification, or if it did, that it was justified; and (4) any differing treatment was not the proximate cause of any injury. AMPORTS Br. at 26-29. AMPORTS’ arguments misapply the law and are not persuasive.

a) *The evidence establishes that Ports America was accorded different treatment.*

AMPORTS contests the second factor—whether “the parties were accorded different treatment.” *Id.* AMPORTS’ argument is premised on its assertion that “Ports America was given consideration for inclusion in the competitive bidding,” but was “ultimately not included.” AMPORTS Br. at 26. Regarding the Access Fee, that argument does not address the undisputed assessment of different fees for access on different classes of persons. There is simply no dispute that between 2023 and May 15, 2024, AMPORTS assessed a \$25 per unit tariff Access Fee for non-preferred stevedores, and no tariff Access Fee for preferred stevedores.⁸ Therefore, under applicable precedent, the parties were accorded different treatment with respect to rates and charges for access, which satisfies the second element with respect to the Access Fee. *See Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of The Galveston Wharves*, Dkt. No. 14-06, 2021 WL 9204112

⁸ Opening Br. at 18.

at *9, 11 (F.M.C. Apr. 16, 2021)(finding that the second element of the section 41106(2) analysis was met where access fee rates in the tariff applied differently to the complainants than others); *Ceres Terminal*, Dkt. No. 94-01, 1997 WL 35281266, at *33 (FMC Oct. 10, 1997) (the difference in leasing treatment satisfied the second element, “[t]hus, we must determine whether the difference in treatment was based on a valid transportation factor”).

As to the alleged discrimination in connection with the RFQ and AMPORTS’ preferred and non-preferred stevedoring program practices, for the purpose of the second element it is similarly without question that the parties were accorded different treatment: certain parties, including Ceres, were provided the RFQ, and Ports America was not.⁹

b) The evidence establishes that the unequal treatment was not justified by differences in transportation factors.

As to the third factor, whether the different treatment was justified by legitimate transportation factors, AMPORTS appears to have two arguments: (1) that AMPORTS should not be required to justify the different Access Fee treatment because, AMPORTS asserts, a *prima facie* discrimination case requires a showing of “an impact on competition within the relevant market,” AMPORTS Br. at 25; and (2) asserting that “the difference in treatment. . . is justified by reasonable considerations,” AMPORTS Br. at 28. Both are unavailing, as addressed below.

(1) Ports America has more than adequately established a prima facie case under section 41106(2).

AMPORTS’ *prima facie* case argument is easily dispensed with. It is premised on misreading the Complaint and the Opening Brief as challenging the lawfulness of AMPORTS’ (now terminated)

⁹ Moreover, AMPORTS’ assertion that Ports America was “given consideration” in the competitive bidding process is a highly disputed fact, which AMPORTS has failed to substantiate. AMPORTS’ argument that such “consideration” and the allegedly resulting decision to treat Ports America differently with respect to RFQ considerations “for reasons of efficiency and safety concerns,” AMPORTS Br. at 26, might be applicable to the third factor—whether the different treatment was justified by legitimate transportation factors—but it is not relevant to the second factor—whether there was different treatment.

agreement with Ceres, which it does not.¹⁰ With respect to section 41106(2), the Complaint and the Opening Brief allege that AMPORTS' \$25 Access Fee in connection with non-preferred stevedores, and its practices and policies with respect to preferred and non-preferred stevedores, constituted different treatment not justified under the Shipping Act. Under the standard applicable to determinations of marine terminal rates and charges under section 41106(2), having established differing treatment under the second factor, Complaints have made a *prima facie* case, and the burden moving forward shifts to AMPORTS to justify the differing treatment, if it can. *See Santa Fe Discount Cruise Parking, Inc. v. FMC*, 889 F. 3d 795, 796-797 (D.C. Cir. 2018), *citing Ceres Terminal*, Dkt. No. 94-01, 27 S.R.R. 1251 (FMC 1997); *See also Louis Dreyfus Corp. v. Plaquemines Port. Harbor and Terminal Dist.*, 25 F.M.C. 59, 68 (FMC July 30, 1982).

AMPORTS' attempt to import the *prima facie* standard applicable to exclusive agreement precedents is inapposite. First, it is clear that *Marine Repair Service, All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, Dkt. No. 94-10, 27 S.R.R. 539 (FMC 1996) ("*All Marine Moorings*"), and *River Parishes Co. v. Ormet Primary Aluminum Corp.*, Dkt. No. 96-06, 28 S.R.R. 751 (FMC 1999) ("*RIVCO*") all expressly deal with challenges to *exclusive agreements*. The matter here, however, is not an exclusive agreement challenge. The reason that competition, monopolization, and considerations of "relevant market" arise in the exclusive agreement cases is not relevant. In the exclusive agreement cases, the *prima facie* case issue arises in connection with whether the challenged agreement or arrangement itself is "sufficient to establish a *prima facie* case of unreasonableness, requiring respondent to produce evidence justifying the practice." *See All Marine*

¹⁰ *See Ports America Chesapeake, LLC and Marine Terminals Corp. – East v. APS East Coast, Inc.*, Dkt. No. 23-04, Order Denying APS East Coast, Inc.'s Motion to Dismiss, at * 9 (ALJ Aug. 16, 2023) ("Complainants' allegations that AMPORTS imposed a \$25 per car access fee on them that it did not impose on other stevedores in the Port of Baltimore, and that this unequal treatment is not justified by differences in legitimate transportation factors, Complainants' allegations constitute a plausible basis to find a violation of section 41106(2).")

Moorings, 1996 WL 264720, at * 6. Here, the Complaint does not allege that the Ceres preferred stevedore agreement violates the Shipping Act, therefore whether such an agreement would itself constitute *prima facie* unreasonableness is irrelevant.¹¹

AMPORTS' attempt to rely on *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Commission*, 390 U.S. 261 (1968), provides no support for its *prima facie* case arguments. AMPORTS argues that a complainant must first show at least a *de minimis* impact on commerce to establish a *prima facie* case. AMPORTS Br. at 15, citing *Volkswagenwerk* at 277. But the issue AMPORTS cites in *Volkswagenwerk* was the question of the scope of agreement filing requirements under section 15 of the Shipping Act, which the Court held that the Commission could except for agreements "of such a *de minimis* or routine character as not to require formal filing," but the section 15 issue has no bearing on the *prima facie* case for the alleged Shipping Act violation. *Id.* at 276.

AMPORTS similarly distorts *Louis Dreyfus Corp. v. Plaquemines Port. Harbor and Terminal Dist.*, taking far out of context the Court's analysis of the Port's ability to control access to the terminal facilities that was relevant to the threshold jurisdictional question of whether Plaquemines Port qualified as a marine terminal operator. AMPORTS Br. at 16-17, citing Dkt. No. 79-45, 25 F.M.C. 59, 66-67. Contrary to AMPORTS contrived argument, the jurisdictional analysis had nothing to do with the *prima facie* case for the alleged Shipping Act violations. *Plaquemines*, Dkt. No. 79-45, 25 F.M.C. 59, 65-67.

Here, Ports America established differing treatment, which under *Ceres*, *Santa Fe*, and other precedents, shifts the burden to AMPORTS to justify the differing treatment, if it can.

(2) *AMPORTS differential treatment was not justified by legitimate transportation related factors.*

AMPORTS was careful to not put all of its eggs in its *prima facie* basket, at least attempting

¹¹ The extent to which AMPORTS argues the Ceres preferred stevedore agreement provides a justification for its actions is irrelevant to whether Complainants have established a *prima facie* case.

to argue that “the difference in treatment . . . is justified by reasonable considerations.” AMPORTS Br. at 28. But beyond that perfunctory assertion, AMPORTS brief says very little about what those considerations might be—devoting less than a page of text on three purported justifications: safety, efficiency and economic self-interest. However, each of those purported justifications are addressed in extensive detail in the Opening Brief, which shows that they were not the actual justifications for the conduct at the time, and that neither AMPORTS’ actions nor the Access Fee were based on legitimate transportation justifications. *See* Opening Br. at 42-51.

An additional point as to the alleged safety justification is warranted. In its brief, counsel for AMPORTS advances yet another new *post-hoc* argument attempting to justify the different treatment on safety grounds. AMPORTS now argues, for the first time, and not supported by the testimony of any of its witnesses, that certain “QCHAT” meetings provided AMPORTS with information about Ports America’s safety record. AMPORTS Br. at 26-27. There are several problems with that new attempted justification: it is contrary to AMPORTS’ testimony, Opening Br. at 43-47; Ports America witnesses testified that the existence of the QCHAT and other meetings showed that AMPORTS had knowledge of stevedore safety, but AMPORTS *admitted it did not use safety information that it had for consideration of stevedores*, Opening Br. at 27; and ultimately, it fails to establish anything about the substance of the matter it is cited for—the actual nature of Ports America’s safety record, when indeed, the credible evidence in the record is that Ports America had a “world class” safety record. Opening Br. at 44-45, 53; PFF ¶ 53; CX_01154, Schmidt Dep. Tr. 115:6-22.

c) *The evidence establishes that the resulting prejudice or disadvantage is the proximate cause Ports America’s injury.*

AMPORTS contests the fourth *Ceres* factor, arguing that the different treatment is not the proximate cause of injury because (1) Ports America did not pay the tariff Access Fee; (2) Ports America has not established whether it was unable to take lost business to a separate terminal; and (3) Ports America did not establish that business was not lost for some other reason. AMPORTS Br.

at 28. AMPORTS cites no authority or evidence in support of its arguments, which is understandable because the arguments are spurious. Whether or not Ports America paid the contested Access Fee is irrelevant to whether Ports America was harmed by AMPORTS' actions.

The record plainly shows that in the face of potential liability for an economically-punitive \$25 per car Access Fee, all but one of Ports America's ocean carrier customers were compelled to shift their business to another stevedore—a reason that ocean carriers expressly documented in the record. CX_01158, Schmidt Dep. Tr. 119:10-18; PFF 142, 143, 146, and 147. Finally, AMPORTS' assertion that Ports America failed to show that it could not “take its business to a separate terminal” is fundamentally disingenuous. AMPORTS purported to apply the Access Fee to any auto cargo delivered to, loaded from, or traversing its facility, regardless of whether the cargo was loaded or unloaded at the AMPORTS terminals. CX_01492, AMPORTS 143(b)(6) Dep. Ex. 35 (“We should be billing ... for any cargo they drive on or off our terminal, regardless of berth.”) In addition to the fact that ocean carriers select the terminals that vessels berth at, not stevedores, the business lost by Ports America was lost to the preferred stevedore that was not required to pay the \$25 Access Fee.

Ports America was plainly injured by the different treatment. *See Santa Fe*, Dkt. No. 14-06, 2021 WL 9204112 at *11, 13 (FMC April 16, 2021) (finding complainants had established injury due to being treated differently in the applicable tariff than both taxis and limousines. “[A]ssuming Respondents' treatment of limousines as compared to Complainants was unjustified, ‘Complainants would be disadvantaged or prejudiced and entitled to a reparation award for their actual injuries.’ I.D.R. at 47.”).

C. Unreasonable Refusal to Deal in Violation of 46 U.S.C. § 41106(3).

- 1. AMPORTS refused to deal by initially excluding Ports America from consideration in the preferred stevedore “competitive bidding” process, and by subsequently refusing to give consideration thereafter.**

AMPORTS argues that Ports America has failed to establish that AMPORTS refused to deal,

or that its actions constituted unreasonable refusals to deal, in violation of section 41106(3) because it purportedly (i) initially considered Ports America as a potential partner and, (ii) despite excluding Ports America from the “competitive bidding” process, when later asked to make equal terms available, it invited Ports America to bid at some unknown future date. AMPORTS Br. at 35, 36. No matter how AMPORTS tries to spin it, the evidence clearly shows that AMPORTS excluded Ports America from the so called “competitive bidding process” and, when directly asked to negotiate and offer equivalent terms, AMPORTS demurred, offering to consider Ports America at a later date if Ports America provided additional supporting information not requested of other bidders in the “competitive bidding process.” Opening Br. at § IV(C)(1) at 54-57.

In its brief discussion of the elements of a refusal to deal claim, AMPORTS asserts that a refusal to deal can only be found where there is “*a bona fide* offer from an offeror without justification.” AMPORTS Br. at 35, *citing Canaveral Port Authority – Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, Dkt. 02-02, 2003 WL 723336 (FMC Feb. 24, 2003). *Canaveral Port Authority* does not support that narrow interpretation of actionable refusals to deal. In *Canaveral Port Authority*, the Commission did conclude the port had unreasonably refused to deal with a tug company after it submitted an application requesting a franchise, but the individual facts of that case do not dictate that a “bona fide” offer is necessary to establish a refusal to deal in every situation. To the contrary, the Commission expressly stated that “[r]efusals to deal or negotiate are factually driven and determined on a case-by-case basis.” *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Limited*, Dkt. No. 22-28, 2024 WL 1741944 (ALJ Apr. 19, 2024), *citing Canaveral*, at *13, 18. As addressed in depth in Ports America’s Opening Brief, the facts and precedent establish that Ports America was “shut out” of the supposed “competitive bidding process” initially, and again when AMPORTS made its illusory offer to deal in the future, and even then not on the same terms offered for the prior “competitive bidding” consideration. Opening Br. at 55-56.

AMPORTS asserts that it “did [not] shut out Ports America from consideration,” because Ports America was initially considered for inclusion in the RFQ. AMPORTS Br. at 35. But AMPORTS provides no support for that contention and the testimony and evidence establish this was clearly not the case. The purported evidence AMPORTS cites for the proposition that Ports America was considered as a “potential partner” is a December 2021 AMPORTS Board presentation and the 2022 Performance Goals for AMPORTS senior management. *See* RPF 14. The only reference to Ports America anywhere in either document is in Steve Taylor’s 2022 Performance Goals, which stated “we will also inquire with stevedoring companies that currently operate on our facilities if a joint venture is in order, i.e. Red Hook, Ceres, Ports America, etc.” CX_01286, AMPORTS 143(b)(6) Dep. Ex. 4. But that inquiry never happened. While AMPORTS’ corporate representative claimed that Ben Buben, AMPORTS’ COO at the time, had spoken with Ports America to gauge their interest in becoming the preferred stevedore, Mr. Buben confirmed he actually never spoke with Ports America about the preferred stevedoring initiative. CX_00119-20, AMPORTS 143(b)(6) Dep. Tr. 82:19-83:15; CX_00370-71, Buben Dep. Tr. 43:19-44:13. Additionally, Ports America confirmed it was completely unaware of the preferred stevedoring initiative until after the November 1, 2022 Announcement Letter was sent out. CX_01102-03, Schmidt Dep. Tr. 63:14-64:10.

There is no dispute that upon becoming aware of the preferred stevedoring arrangement, Ports America promptly contacted AMPORTS and requested it either withdraw the November 1, 2022 Announcement Letter or “offer to make equivalent terms available to Ports America and other stevedores for consideration” and “agree to meet to negotiate concerning such agreements and terms.” Opening Br. at 56-57; AMPORTS Br. at 35-36. Notwithstanding this request, AMPORTS did not respond to Ports America’s invitation to negotiate until three full months after the preferred stevedore arrangement theoretically went into effect on January 1, 2023. Opening Br. at 56. At that

point, AMPORTS stated that Ports America appeared “well suited to bid for AMPORTS’ preferred stevedoring provider,” but for an uncertain, future bid, with additional requirements that were not part of its “competitive bidding” process for considering other stevedores. Opening Br. at 56. AMPORTS seems to believe that this disingenuous invitation to bid on potential business perhaps 10 years in the future (when the Ceres preferred stevedoring contract was set to terminate) relieves it of liability for its refusal to deal. But as stated by the Commission, “in determining reasonableness, the agency will look to whether a marine terminal operator gave **actual** consideration to an entity’s efforts at negotiation.” *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Limited*, Dkt. No. 22-28, 2024 WL 1741944, at *35 (emphasis added), citing *Canaveral Port Authority*, 2003 WL 723336 at *18.

2. AMPORTS fails to meet its burden to show that its refusals to deal were reasonable.

Regarding the second element, AMPORTS fails to show that the refusals to deal were reasonable. As set forth in the Opening Brief, once an MTO undertakes a process for consideration it is required to conduct it reasonably and fairly. See *Canaveral Port Authority*, 2003 WL 723336 at *16 (finding a refusal to deal where the regulated entity failed to follow its own stated procedure for considering an application to provide service). AMPORTS fails to rebut that authority or otherwise substantiate the reasonableness of the refusals to deal with credible evidence in the record.

AMPORTS’ argues it would be absurd to find its exclusion of Ports America from the RFQ constitutes a refusal to deal, but the facts in this case speak otherwise: without any reasonable basis, AMPORTS excluded only one of two stevedores currently operating in Baltimore from its “competitive bidding process.” By failing to even invite Ports America to participate, AMPORTS did not follow its own stated process, both initially and later, and intentionally shut Ports America out of the supposed “competitive bidding process,” not giving Ports America a chance to be heard.

AMPORTS argument that its purported decision was based on Ports America’s “reputation

with respect to safety ... as well as Ports America's issues on the terminal ... was not groundless or unreasonable," cites literally nothing in support. AMPORTS Br. at 36. And AMPORTS advances no rebuttals to the substantial evidence cited in the Opening Brief. Opening Br. at § IV(C)(2) at 57-59. As discussed in the Opening Brief, the evidence shows that the "safety" reasons and alleged consideration were *post-hoc* rationalizations that were both unsubstantiated and indeed contradicted in the record. Opening Br. at 57-58. While AMPORTS' asserts in its brief that Ports America was excluded when it was deemed "not to be a suitable long-term partner," the "evidence" cited in support is contradictory and riddled with false or inaccurate statements. AMPORTS Br. at 35; RPFF 16. Among other things, Jake Brown, AMPORTS' corporate representative, claims Ben Buben spoke with the ILA about Ports America's safety record and Ben Buben claims he spoke with the ILA, but not about Ports America specifically. CX_00149-52, AMPORTS 143(b)(6) Dep. Tr. 112:14-115:6; CX_00375, Buben Dep. Tr. 48:2-19. Notably, AMPORTS' corporate representative also confirmed he was unaware of any safety issues with Ports America. CX_00151, AMPORTS 143(b)(6) Dep. Tr. 114:4-14. Ben Buben claims he spoke with George Molyneaux, the local manager in Baltimore, about Ports America and the preferred stevedoring initiative, but Mr. Molyneaux claims he knew nothing about the initiative until Ceres was already selected and the announcement was being sent out. CX_00371-72, Buben Dep. Tr. 44:1-45:13; CX_00841-43, Molyneaux Dep. Tr. 88:20-90:18. And Steve Taylor, AMPORTS' former CEO, claimed the only reason Ports America was excluded was due to speeding incidents around the terminal, information he said came from Mr. Molyneaux through Mr. Buben, but Mr. Molyneaux testified that the speeding incident involved Ceres and not Ports America. CX_00597; CX-00599-602; CX_00641-42, Taylor Dep. Tr. 62:8-22; 64:14-67:15; 106:2-107:13; CX_00832, Molyneaux Dep. Tr. 79:19-25. AMPORTS effort to establish a reasonable basis for its refusal to deal fail.

D. Ports America Has Shown Damages To A Reasonable Degree of Certainty.

AMPORTS does not contest the underlying standard applicable to proof of damages, to wit, the reasonable degree of certainty standard. Opening Br. at 59-60; AMPORTS Br. 38-40. Instead, AMPORTS argues, incorrectly, that Ports America's damages evidence are entirely "estimates" of future losses and argues, again incorrectly, that estimates can't be used as evidence of damages. AMPORTS Br. at 40.

First, the lost business damages included a large portion of actual lost business, in addition to expected future lost business. As is the case, as time passes, potential future lost business becomes actual lost business. By the close of discovery in this matter, the entirety of 2023 lost business damages were based on actual lost business, not estimates of lost business. For the purposes of estimating continuing lost business, damages in 2024 were also estimated on a monthly expected basis.

Second, the applicable standard for proving damages is proof to a reasonable degree of certainty, a standard that does not categorically exclude damages evidence offered without an expert witness, nor does it categorically include reasonable estimates. Opening Br. at 59-60. AMPORTS also claims that it was not on notice of Ports America's damage claims until the evening before the deposition of Mark Schmidt, that it did not have the opportunity to depose knowledgeable witnesses on Ports America's damages, and that the damages evidence is not reliable. AMPORTS Br. at 40-42. This is simply not true.

Regarding Ports America's damages evidence, Ports America provided damages evidence throughout discovery in this proceeding. That included responses in its Initial Disclosures, served on September 15, 2023, which includes notice to AMPORTS that "Complainants have suffered and continue to suffer damages related to Respondent's alleged 'licensed stevedore' and access fee practices, including but not limited to, future access fees and losses and damages for loss or and/or

diminution in stevedoring business resulting from Respondent's violations of the Shipping Act, and pre-judgment interest, attorney's fees, and other recoverable damages in an amount still being calculated and to be determined in this proceeding. Complainants reserve the right to supplement, revise, or update the amount and type of damages as may be further developed during discovery and during this proceeding." CX_02339, Complainants Initial Disclosures, para. 3 (Damages).

Ports America provided detailed responses on damages in its verified interrogatory responses, served on November 11, 2023 separately as to PAC and MTCE, including responses 10-13, e.g. for MTCE:

INTERROGATORY NO. 10: Identify and describe in detail all business Complainant alleges was lost as a result of the Respondent's actions.

RESPONSE: Complainant objects to Interrogatory No. 10 as overbroad and unduly burdensome to the extent it requests that the Complainant "describe in detail" information in excess of what is required pursuant to FMC Rule 145. Subject to and without waiving any of the foregoing objections, Complainant responds that its lost business includes the following:

[REDACTED]

[REDACTED]

CX_01532, Complainant's Objections and Responses to Respondent's First Set of Interrogatories to Complainant MTCE, Interrogatory Response No. 10.

And for PAC:

INTERROGATORY NO. 10: Identify and describe in detail all business Complainant alleges was lost as a result of the Respondent's actions.

RESPONSE: Complainant objects to Interrogatory No. 10 as overbroad and unduly burdensome to the extent it requests that the Complainant "describe in detail" information in excess of what is required pursuant to FMC Rule 145. Subject to and without waiving any of the foregoing objections, Complainant responds that its lost business includes the following:

[REDACTED]

CX_01562, Complainant's Objections and Responses to Respondent's First Set of Interrogatories to Complainant PAC, Interrogatory Response No. 10.

Ports America also produced substantial documentary evidence to AMPORTS' in this proceeding, including volume data¹², contract rate summary information¹³, and service and rate agreements with ocean carriers.¹⁴

AMPORTS noticed depositions of three individuals and two 143(b)(6) corporate depositions. During the deposition of MTCE's 143(b)(6) corporate representative Tim Beall, AMPORTS counsel

¹² CX_02336, PA_0001911.

¹³ CX_02044, PA_0000157; CX_02045, PA_0000834.

¹⁴ CX_02046, PA_0000861; CX_02051, PA_0000866; CX_02056, PA_0000871; CX_02062, PA_0000897; CX_02127, PA_0000962; CX_02210, PA_0001045; CX_02304, PA_0001160; CX_02239, PA_0001092; CX_02254, PA_0001107; CX_02257, PA_0001110; CX_02225, PA_0001157.

introduced MTCE's November 10, 2023 Interrogatory Responses as an exhibit, examined the witness with respect to MTCE's verified responses, but did not ask any questions with respect to the responses to Interrogatories 10-13 on damages (CX_00914-17, Beall Dep. Tr. 20:1-23:4; CX_01525, Beall Dep. Ex. 2), nor did counsel ask any questions on damages generally. *See generally*, CX_00894, Beall Dep. Tr.

In preparation for the 143(b)(6) deposition of PAC's 143(b)(6) corporate representative Mark Schmidt, the witness obtained updated information on damages of the same type previously provided in discovery, e.g., in the November 2023 responses. Those documents were provided to counsel for AMPORTS. CX_02040, PA_0002232; CX_02041, PA_0002233; CX_02043, Schmidt Dep. Ex. 29.

During the deposition of PAC's 143(b)(6) corporate representative, AMPORTS' counsel introduced PAC's November 10, 2023 verified interrogatory responses as an exhibit, confirmed that the witness verified the responses, and examined the witness with respect to PAC's responses, but did not ask any questions with respect to interrogatory responses 10-13 on damages. CX_01064-67, Schmidt Dep. Tr. 25:8-28:21; CX_01555, Schmidt Dep. Ex. 3. Counsel did however examine the witness extensively about communications with ocean carrier customers of PAC and MTCE impacted by AMPORTS' Access Fee, including communications relating to impacted and lost business. CX_01121-32, Schmidt Dep. Tr. 82:9-93:1. The witness had the updated damage information in his possession during the deposition and the witness sought to refer to them during the deposition. CX_01159-60, Schmidt Dep. Tr. 120:5-121:2. AMPORTS' counsel did not object to the witnesses' use of the documents, and AMPORTS' counsel introduced the documents as an exhibit in the deposition and examined the witness with respect to the documents. CX_01165-68, Schmidt Dep. Tr. 126:5-129:1; CX_02043, Schmidt Dep. Ex. 29. As reflected in the testimony, and explained in the Opening Brief, the documents referred to and the testimony on April 29, 2024 reflected information on damages that updated information of the same kind previously provided in discovery.

Opening Br. at 63-64. Notwithstanding the assertion in the AMPORTS brief that the updated information was provided during depositions, AMPORTS had ample opportunity to examine all witnesses on damages evidence, but chose not to do so until the deposition of Mr. Schmidt. During Mr. Schmidt's deposition Ports America's counsel examined the witness on the updated information; AMPORTS counsel did not object to the information at that time, instead affirmatively introducing it as an exhibit to the deposition. CX_01165-68, Schmidt Dep. Tr. 126:5-129:1; CX_02043, Schmidt Dep. Ex. 29.

As to AMPORTS' arguments that the damages evidence is not reliable or authenticated, AMPORTS protests too much about the updated information. Both corporate representatives signed verified interrogatory responses setting forth the damages framework and detailed information available at that time in November 2023. *See* CX_01532, Complainant's Objections and Responses to Respondent's First Set of Interrogatories to Complainant MTCE; CX_01562, Complainant's Objections and Responses to Respondent's First Set of Interrogatories to Complainant PAC. AMPORTS was not prevented from probing witnesses on Ports America's damages, AMPORTS just did not pursue it. As to Mr. Schmidt, contrary to AMPORTS' recitation that he "could only guess at who" prepared the document, he identified the finance department analysis that he expected physically prepared the summaries, and he plainly understood the elements and sources of the data and the straightforward approach taken to calculate the damages. CX_01165-68, Schmidt Dep. Tr. 126:5-129:1. As set forth in the Opening Brief, expert evidence is not required where damages calculations are reasonably straightforward, which is the case here.

Finally, in light of the ongoing nature of the damages in this proceeding, if a finding of liability is made, it is reasonably likely that a supplemental submission on damages may be appropriate to update the damages. And even if the evidence of damages in the record is not sufficient to fully determine compensable reparations, the appropriate course would be to supplement the

record. *See Perry's Crane Service v. Port of Houston*, Dkt. No. 75-51, 19 F.M.C. 548, 551 (FMC Feb. 25, 1977) (“We agree with the Presiding Officer that Complainant is entitled to some degree of monetary restitution for losses occasioned by the unlawful practices of Houston. The extent of reparation cannot be determined on this record. A remand on that issue is accordingly in order. This procedure has been followed by the Commission in instances like the present when the record is full and complete on the issue of violation but is inadequate on the issue of damages.”) The fact of the matter is that Ports America has been injured, the injury was proximately caused by AMPORTS’ violations of the Shipping Act, and AMPORTS’ quibbling aside, Ports America is entitled to, and should be afforded, an award of reparations.

V. CONCLUSION

As a result of AMPORTS’ unreasonable practices, unreasonable preferences and prejudices, and refusals to deal, Complainants have suffered actual injury and damages directly and proximately caused by AMPORTS’ wrongful conduct. The Presiding Officer should find liability, order AMPORTS to cease and desist from continuing and future violations, including assessment and collection of Access Fees, and order reparations for Ports America’s damages, pre-judgment interest, and such other and further relief as is deemed just and proper. Ports America further seeks and is entitled to its attorneys’ fees and costs in this proceeding in due course. 46 U.S.C. § 41305.

Respectfully Submitted,

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Dated: August 6, 2024

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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